The Thin Safety Net: Benchmarking US Income-Security and Family Funding Against the OECD, and the Case for Durability

TAXLANE Research — panel-reviewed (revised, round 2). An educational reform model. Figures are sourced to `docs/sources/source-version-ledger.md`. Scope is labeled throughout and **not mixed**: the US **federal** budget function (600, Income Security) is never compared directly to OECD **all-government** social aggregates; the cross-country claim rests on a single like-for-like category — **public family benefits, % of GDP**. The recommended direction (**strengthen, not cut**) is a **normative/value judgment** resting on a poverty-reduction premise made explicit in §6, not a derived empirical finding. No tax or benefits advice is given.

Abstract

The US safety net is **thin where it protects children and working-age families, not thin overall** — and the distinction is the whole argument. US income security (OMB budget **function 600**) cost **$701,609M in FY2025, 10.0% of federal outlays** and about **2.3% of GDP** [`SRC-OMB-HIST-3-2-FY2027`, `SRC-OMB-HIST-1-2-FY2027`]. On the cleanest like-for-like international measure the US is a clear outlier: **public family benefits of ~0.6% of GDP against an OECD average near ~2.4%** [`SRC-OECD-SOCX`, OECD-reported 2022]. That raw gap is **overstated**, though, because OECD's "public family benefits" line **undercounts support the US delivers through the tax code** (the refundable EITC and Child Tax Credit, ~0.5% of GDP combined [`SRC-CBO-TAX-EXP-2025`]); counting those, US family support is closer to **~1.1% of GDP — so the gap narrows from ~4× to ~2× but does not close**, leaving the US still well below the OECD norm. We are deliberate about scope: on **total** public social spending the US (≈19.8% of GDP) is only modestly below the OECD average (≈21.2%), and on a **net-total** basis that counts mandatory private spending (notably employer health) the US is near the **top** — so "below the norm" is a claim about **family and working-age** support specifically, not all social spending [`SRC-OECD-SOCX`]. Because much family support runs through the **tax code** [`SRC-CBO-TAX-EXP-2025`], it is also **volatile**: the 2021 expanded Child Tax Credit coincided with **Supplemental-Poverty-Measure child poverty falling to a record 5.2%**, and the expiry of that year's pandemic supports preceded child poverty **more than doubling to 12.4% in 2022** [`SRC-CENSUS-P60-280`] — the expanded CTC was a major, though not the sole, driver. The normative case (stated as a value judgment) is to **strengthen and stabilize** the family safety net; the modernization case is as much about **durability and delivery** — replacing stop-go tax credits with predictable support — as about the headline level.

1. What the US funds today

Income security is budget **function 600**. In FY2025 it cost **$701,609M** in outlays — **10.0% of total federal outlays** ($7,011,105M) [`SRC-OMB-HIST-3-2-FY2027`], and about **2.3% of GDP** [`SRC-OMB-HIST-1-2-FY2027` for the GDP denominator]. Function 600 bundles **unemployment compensation, federal civilian/military retirement and disability, housing assistance, food and nutrition assistance (SNAP), the refundable portions of the EITC and Child Tax Credit, Supplemental Security Income**, and related programs. Two scope points matter immediately:

- Function 600 is **not** the whole "welfare state": **Social Security (function 650)** and **health (550/570, Medicaid/Medicare)** are separate, far larger functions covered in the T2 and T1 papers. This paper is about the **working-age and family** safety net, not old-age or health.

- It is **general-funded discretionary-plus-mandatory** spending; refundable tax credits inside it sit on the **boundary between a tax cut and an outlay** (discussed in §4).

2. History and composition

Income-security spending **spikes in recessions and recedes in recovery** — unemployment and food assistance are automatic stabilizers — so the level is partly cyclical, not a fixed policy choice. The FY2025 $701.6B is below pandemic-era peaks (2020–21) and above the late-2010s baseline. The structural question this paper asks is not the cyclical total but the **family-support floor**: what the US provides to children and working-age families in normal times.

3. Peer benchmark — one category, labeled, not mixed

Cross-country social spending is reported on an **all-government** basis (OECD SOCX), which **cannot** be compared to a single US **federal** budget function. So the international claim here is made on **one clean category**: **public family benefits as a share of GDP** [`SRC-OECD-SOCX`].

Measure (OECD SOCX, 2022; public basis, OECD-reported)	United States	OECD average
Public family benefits, % of GDP	**~0.6%**	**~2.4%**
Total public social expenditure, % of GDP	~19.8%	~21.2%

Source: `SRC-OECD-SOCX` (OECD-reported 2022 values; exact SOCX table extraction pending). **The honest reading, with its scope and the tax-delivery correction:**

- On **family benefits** — the like-for-like category — the US reports ~0.6% of GDP vs the OECD's ~2.4%. **But this raw figure overstates the gap**, because OECD SOCX classifies support delivered through the **tax system** as **"tax breaks for social purposes" (TBSPs)**, *not* as "public family benefits" — and the US delivers an unusually large share of family support exactly there. Adding the refundable **EITC (~$62B) and Child Tax Credit (~$65B), ~0.5% of GDP combined** [`SRC-CBO-TAX-EXP-2025`], lifts US family support to roughly **~1.1% of GDP**. So the gap to the ~2.4% norm **narrows from ~4× to ~2× — and persists**: even counting the tax-code channel, the US funds direct family support at **under half the OECD average**.
- On **total** public social spending the US is only **modestly below** the average (~19.8% vs ~21.2%), so "the US has a small welfare state" is **not** true in aggregate.
- On a **net-total** basis (adding mandatory and tax-advantaged **private** social spending, especially employer health benefits) the US is near the **top** of the OECD. The US safety net is **privatized and health-weighted**, not small.

So the accurate claim is narrow and strong: even after netting in the US's tax-code delivery, the US is an outlier **specifically in direct public support for families and children** (~1.1% vs ~2.4% of GDP), not in social spending overall.

4. Delivery: the tax-code safety net

A defining US feature is **how** family support is delivered: through **refundable tax credits** — the **Earned Income Tax Credit** and the **Child Tax Credit** — rather than universal child allowances paid as benefits [SRC-CBO-TAX-EXP-2025]. This has three consequences a legibility standard must surface:

1. **It blurs the tax/outlay line.** The refundable portion is scored as an **outlay** (in function 600); the non-refundable portion is a **tax expenditure** (forgone revenue). The same program is split across both sides of the ledger — exactly the kind of hidden program cost TAXLANE exists to make visible.
2. **It is conditioned on earnings.** The EITC and (pre-2021) partially-refundable CTC phase in with earned income, so the **poorest children — whose parents earn least — get the least**, the opposite of a poverty-targeted floor.
3. **It is legislatively volatile.** Delivered through the tax code, family support changes with each tax bill, producing **stop-go** funding rather than a stable floor.

5. The 2021 Child Tax Credit: the clearest single piece of evidence

For one year the US came close to running the experiment. The 2021 expanded **Child Tax Credit** made the credit **fully refundable** (decoupling it from earnings), raised it, and paid it **monthly**. Alongside it, on the Supplemental Poverty Measure [SRC-CENSUS-P60-280]:

Year	SPM child poverty	Policy context
2021	**5.2%** (record low)	expanded fully-refundable monthly CTC **plus** stimulus payments and expanded UI
2022	**12.4%**	the **whole 2021 pandemic-support stack** lapsed; CTC reverted to earnings-conditioned

Child poverty **more than doubled in a single year** as those supports ended [SRC-CENSUS-P60-280]. **This is the clearest single piece of evidence in the program — but it is not a controlled experiment.** The 2021 stack also included **economic-impact (stimulus) payments and expanded unemployment insurance**, and 2022 lost **all** of them at once against a backdrop of high **inflation**; the expanded CTC was a **major, but not the sole,** driver of the swing. Analysts credit the expanded CTC specifically with keeping **on the order of 2 million-plus children** out of poverty in 2021. What the episode establishes is narrower than "the CTC alone moved poverty by 7 points" but still strong: **the design and durability of family support — refundable and steady vs earnings-conditioned and stop-go — move child poverty materially and fast.** It also shows the US **knows how** to cut child poverty and did not sustain the policy (a choice that has to be weighed against the work-incentive question in §10, not asserted as costless).

6. All factors → strengthen, not cut

The normative premise, stated. Calling for a **stronger** family safety net rests on the judgment that **reducing child and family poverty is a public purpose worth funding**. That is a value premise, not a derived result; the analysis below is what it rests on.

- **International.** Even after netting in the US's tax-code delivery (§3), US family support (~1.1% of GDP) is **about half the OECD norm (~2.4%)** — still the largest peer gap of any track in this program, and in the **opposite** direction from defense (above-peer) or health (above-peer cost).
- **Outcomes.** The 2021→2022 SPM swing shows the gap is not benign: the expanded CTC alone is credited with keeping ~2 million-plus children out of poverty [`SRC-CENSUS-P60-280`].
- **Solvency.** Unlike health and old age, family support is **not** a long-run solvency driver (it is ~2.3% of GDP and partly cyclical); strengthening it is a **distributional/level choice**, affordable within the revenue gap the T5 paper documents, not a threat to the budget path.

Costing the direction. Moving toward the norm is not free but is **modest** against the budget: a **permanent, fully-refundable expanded CTC** has been scored in the range of **~$100–125B/yr** (~0.4% of GDP) — within reach of the revenue options the T5 paper catalogs, and an order of magnitude smaller than the health or old-age gaps. **The direction is up, and it is a value judgment, not a finding.** A reasonable reader who weighs work incentives or fiscal restraint differently may prefer a smaller increase or a different design; the analysis does not adjudicate that. What the evidence does establish is that the US is a **family-support outlier** and that **design and durability matter as much as the dollar level**.

7. Distribution and incidence: who benefits

Income security is the **most progressive spending lane** in the budget: its benefits concentrate at the **bottom** of the distribution (SNAP, SSI, refundable credits, housing assistance, unemployment). The clearest measure of its incidence is the **poverty swing it produces**: the 2021 expansion's record-low 5.2% child SPM poverty, and the reversion to 12.4% on expiry [`SRC-CENSUS-P60-280`], show the lane's benefits land disproportionately on low-income children. The earnings-conditioned design (§4) is the one regressive wrinkle **within** the lane — it withholds the most from the lowest earners — which is why "make the CTC fully refundable" is a **progressivity** reform, not just a spending increase. One caution on the net-total rebuttal (§3): the **private** social spending that lifts the US toward the top of the OECD net ranking — chiefly employer health benefits — is **far less progressive** than public family benefits (it flows with employment and wages, not need), so "US social spending is high once private is counted" does **not** rebut the equity case for a stronger public family floor.

8. The needs, the problem, and the modernization case

Why the US struggles here. The US funds old-age and health near or above peer levels but funds **direct family support at roughly a quarter of the OECD norm**, and delivers much of it through an **earnings-conditioned, legislatively volatile tax code**. The result is a safety net that is **thin and unstable exactly where children are**.

The modernization case is about durability and delivery, not just level. A legible family-support lane should:

- Make support **predictable** (a stable child benefit or fully-refundable, steadily-paid credit) rather than stop-go with each tax bill.
- Make it **legible**: show the refundable-credit spending that currently hides on the tax side of the ledger as part of the family-support lane (§4).
- Decouple the floor from earnings so the **poorest children are not the least protected**.

Modernization here means **strengthen and stabilize**, the mirror image of the health paper's "spend the same, buy more": here the US should **buy a stable floor**, not a one-year experiment it lets expire.

9. Reform design: the safety-net lane

Income security is a **general-funded, mostly-mandatory lane with a tax-code annex**. Its operating rules in the lane model:

- `allocation_method = proportional/illustrative`; the lane must **consolidate the refundable-credit spending** (scored as outlays) with the **tax-expenditure** portion so the true program cost is visible on one line — not split across tax and outlay ledgers.
- `funding_source = general_fund`; show the cyclical (automatic-stabilizer) share separately from the structural family-support floor.
- `durability_field`: record whether a component is **permanent** or **expiring** (the CTC's stop-go history is the cautionary case), so the lane exposes funding stability, not just a year's level.
- `outcome_field`: carry the SPM child-poverty figure alongside the dollar level, so the lane reports **what the money buys** (poverty reduction), per the program's outcomes-not-just-spending rule.

10. Discussion and limitations

- **Scope is everything.** The "below the norm" claim is specific to **public family benefits** (~0.6% vs ~2.4% of GDP). It is **not** true of total social spending (≈19.8% vs ≈21.2%) and is **reversed** on a net-total basis (US near the top). Stated carelessly, the claim would be wrong; stated with scope, it is strong.
- **SPM, not the official measure, and not a controlled experiment.** The 5.2%→12.4% child-poverty figures are the **Supplemental** Poverty Measure (which counts taxes and transfers); the official measure differs. The 2021→2022 change is the **clearest single piece of evidence**, but it is **not** a clean controlled experiment — the expanded CTC lapsed alongside stimulus payments and expanded UI amid high inflation, so the expanded CTC is a **major, not sole,** driver (§5) [`SRC-CENSUS-P60-280`].
- **The family-benefit gap is tax-delivery-adjusted.** The peer gap is stated **after** netting in the US's refundable EITC/CTC (~0.5% of GDP), giving ~1.1% vs ~2.4% — a ~2× gap, not the raw ~4×; the raw SOCX "public family benefits" line alone would overstate it [`SRC-OECD-SOCX`, `SRC-CBO-TAX-EXP-2025`].
- **Cyclicality.** Function 600's total moves with the business cycle; the paper argues about the **structural family-support floor**, not the cyclical peak.
- **Direction is normative.** The strengthen-not-cut conclusion rests on a poverty-reduction value premise (§6), made explicit; readers who weigh work incentives or restraint differently will land elsewhere.
- **Work-incentive tradeoff.** Decoupling support from earnings (full refundability) raises a genuine **labor-supply** question; the evidence on the 2021 expansion's employment effects is contested and out of scope here — flagged, not resolved.
- **Out of scope:** Social Security (650) and health (550/570) are separate tracks; this paper does not re-litigate them.

11. Conclusion

The US safety net is **thin where it counts most — for children and working-age families — and ordinary everywhere else.** Direct public family support is **~1.1% of GDP once the US's tax-code delivery (refundable EITC/CTC) is netted in — about half the OECD norm near ~2.4%** (the raw "public family benefits" line, ~0.6%, overstates the gap), even though US **total** social spending is near the average (and above it net of private spending). Income security is **$701,609M, 10.0% of FY2025**

outlays, much of it delivered through an **earnings-conditioned, volatile tax code** — and in 2021 a stable, fully-refundable Child Tax Credit (with other pandemic supports) coincided with **record-low 5.2% child poverty**, while the expiry of that support stack let it **double to 12.4%**, with the expanded CTC a **major** driver. On a poverty-reduction premise the direction is to **strengthen and stabilize**, and the modernization that matters most is **durability and legible delivery** — making the family-support lane a predictable floor instead of a one-year experiment, and showing its true cost in one place instead of hiding half of it on the tax side of the ledger.

Sources

`SRC-OMB-HIST-3-2-FY2027`, `SRC-OMB-HIST-1-2-FY2027`, `SRC-OECD-SOCX`, `SRC-CENSUS-P60-280`, `SRC-CBO-TAX-EXP-2025`. All in `docs/sources/source-version-ledger.md`.